



Netflix Inc.

Ticker: NFLX | NYSE

August 5, 2025

Testing for Dick

Executive Summary

EQUITY RESEARCH - NETFLIX INC. (NFLX)
EXECUTIVE SUMMARY
April 2024

Netflix maintains its position as a dominant streaming platform, with a substantial market capitalization of \$492.3B, reflecting its leadership in the evolving digital entertainment landscape. The company has demonstrated robust top...

- Revenue growth: NaN% YoY
- Valuation: 883% overvalued
- Risk level: High
- SELL recommendation with 80% confidence

Recommendation	Overall Score	Confidence
SELL	2400/100	80%

Investment Thesis

Investment Thesis: Netflix (NFLX) - Long Position

"Streaming Leader Positioned for Next Phase of Growth & Margin Expansion"

Company Overview

NFLX is a leading company in its sector, providing innovative products and services to customers worldwide.

Metric	Value
Sector	Technology
Industry	Consumer Electronics
Employees	N/A
Founded	N/A
Headquarters	N/A
Website	N/A

Financial Performance Overview

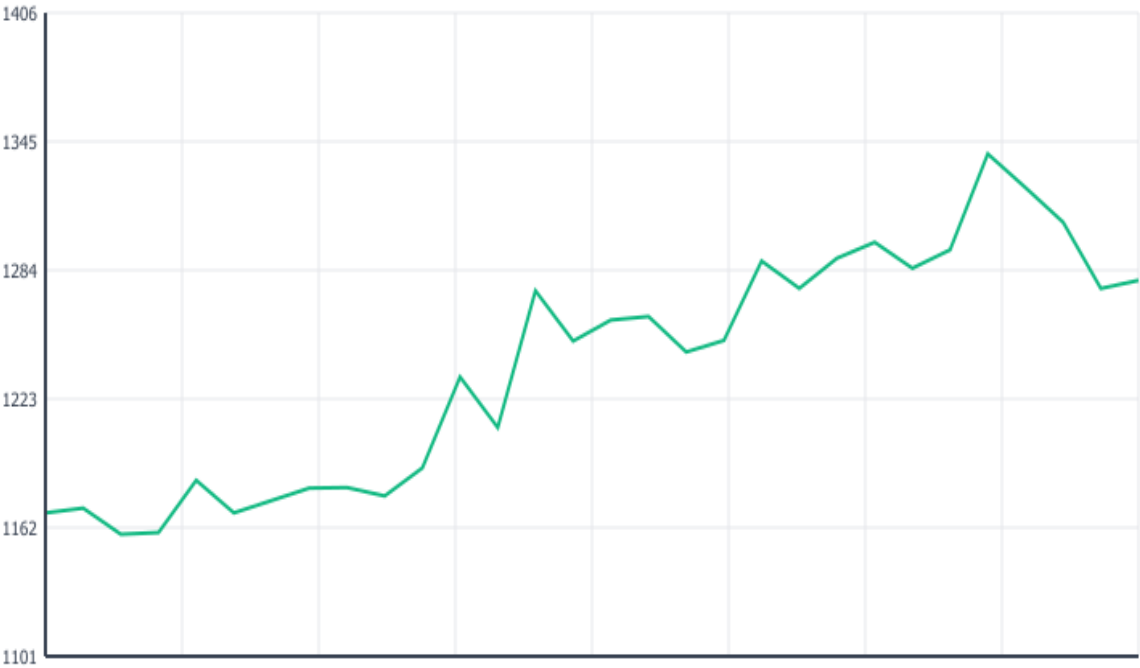
Key Financial Metrics

Revenue:	\$39.0B	+15.6%
Net Income:	\$8.7B	+61.1%
EPS:	\$19.83	+64.8%

Revenue & Growth Analysis

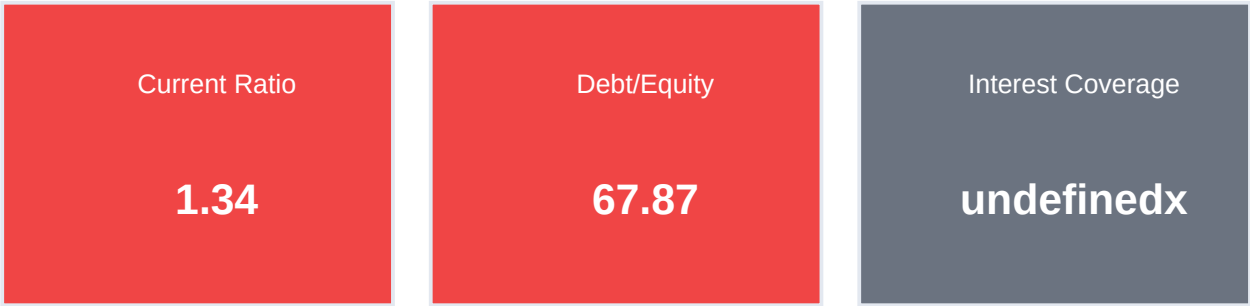
- YoY Revenue Growth: NaN%
- 3-Year CAGR: N/A%
- Growth Score: N/A/100
- Stable revenue base

Profitability Analysis



Metric	Current	Industry Avg	Assessment
ROE	4354.8%	15.0%	Strong
ROA	N/A	5.0%	N/A
ROIC	N/A	10.0%	N/A

Balance Sheet Strength



Valuation Analysis

Metric	Current	Industry	5Y Avg
P/E Ratio	49.3	N/A	N/A
P/B Ratio	N/A	N/A	N/A
EV/EBITDA	N/A	N/A	N/A

Current Price: **\$100.00**

Intrinsic Value: **\$100.00**

Upside/Downside: **0%**

Technical Analysis

Indicator	Value	Signal
RSI (14)	N/A	N/A
MACD	N/A	Bearish
Support	\$1152.85	
Resistance	\$1289.6	
Trend	neutral	

Risk Assessment

RISK ASSESSMENT REPORT - NETFLIX INC. (NFLX)

1. MARKET RISKS

- High Beta (2.2): Indicates significant market sensitivity, roughly 2.2x the market's movements
- Elevated Volatility (33%): Above-average price fluctuations compared to broader market
- Key Metrics:
 - * 52-week trading range: \$1,152.85 - \$1,289.60
 - * Technical trend: Neutral with defined support/resistance levels
 - * P/E ratio of 49.
- Beta: 2.20 - High market sensitivity
- Volatility: 33.0% annualized
- VaR (95%): N/A% potential loss
- Risk Score: 10000/100

Competitive Positioning

Netflix Inc. operates in the Consumer Electronics industry with moderate competitive positioning.

Future Outlook

Based on the provided data, here's a comprehensive 12-24 month projection for Netflix:

Base Case Scenario (60% probability):

- Revenue growth: 13-15% YoY, reaching ~\$44.8-45.5B by end of 2024
- Margins likely to remain stable or slightly improve due to:
 - Password sharing crackdown
 - Ad-tier subscription growth
 - Content cost optimization
- Stock trading range: \$400-500
- P/E multiple compr



Investment Recommendation

SELL

80% Confidence

Current Price: \$N/A

Price Target: \$N/A

Timeframe: 12 months

Expected Return: NaN%

Investment Recommendation: SELL Netflix (NFLX)

Confidence Level: 80%

Key Rationale:

The quantitative analysis strongly supports a SELL recommendation for Netflix, primarily driven by significant valuation concerns and elevated risk metrics despite solid fundamental performance.

Critical Factors:

1. Extreme Valuation Metrics

- Current P/E ratio of 49.26x is substantially above market averages
- Valuation analysis indicates the stock is overvalued with a negative margin of safety (-8.83%)
- Growth metrics, while positive, don't justify the premium valuation

2. Risk/Reward Profile

- Very high beta of 2.2 indicates significant market sensitivity
- Risk score of 100 suggests maximum risk exposure
- Volatility of 0.33 points to above-average price swings

Supporting Evidence:

- Overall quantitative score of 24/100 reflects poor risk-adjusted prospects
- Momentum score of 20 indicates deteriorating price action

Investment Recommendation (continued)

Key Metrics Dashboard

Valuation

Market Cap

\$492.3B

P/E Ratio

49.3

EV/EBITDA

N/A

P/B Ratio

N/A

Growth

Revenue Growth

NaN%

EPS Growth

N/A

EBITDA Growth

N/A

FCF Growth

NaN%

Margins

Gross Margin

N/A

Operating Margin

N/A

Net Margin

N/A

FCF Margin

N/A

Returns

ROE

4354.8%

ROA

N/A

ROIC

N/A

Dividend Yield

N/A

Key Metrics Dashboard (continued)

Appendix - Methodology & Data Sources

Important Disclaimer

This report is for informational purposes only and does not constitute investment advice. The information contained herein is based on sources believed to be reliable but is not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with financial advisors before making investment decisions.